Unit 10

DEPRECIATION ACCOUNTING

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Points to recall

The following points are to be recalled before learning the depreciation accounting:

- The going concern concept
- The matching concept
- Meaning of fixed assets
- Tangible assets and intangible assets

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Learning Objectives

To enable the students to

- Understand the meaning and causes of depreciation
- Understand the various methods of providing depreciation
- Apply the different methods of depreciation and prepare asset account

Key terms to know

- Depreciation
- Provision for depreciation
- Scrap value/residual value
- Book value
- Straight line method
- Diminishing balance method

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